Ddev Plastiks Industries Ltd

Concall-Tracker report · Screener ticker DDEVPLSTIK (NSE: DDEVPLSTIK, BSE: 543547) · 10 earnings-call transcripts read (Q4 FY24 → Q1 FY27) · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Ddev Plastiks makes **polymer compounds** — the specially formulated plastic that gets extruded around copper to become the insulation and outer sheath of electrical wires and cables. It sells to India's wire-and-cable manufacturers and exports widely. In plain terms: it does not make cables, it makes the plastic that goes on them, so it grows whenever India builds power transmission.

Figure	Value	Plain-English read
Market capitalisation	**₹2,864 cr** (price ₹276)	What the whole company is worth. The share has ranged ₹185–360 over the past year.
Price-to-earnings / dividend	**13.4×**; yield 0.63%	About 13 times last year's profit — an undemanding rating for a business compounding at this rate with a 31% return on capital.
Q1 FY27 revenue (Jun'26 qtr)	**₹989 cr, up 29% YoY**	Against ₹769 cr a year earlier — the largest quarter in the company's history, and a clear acceleration from FY26's 13% growth.
Q1 FY27 operating profit	**₹91 cr, margin ~10%**	EBITDA up 27% year-on-year. The margin is thin but **remarkably stable** — it has sat between 9% and 11% in every quarter for three years.
Q1 FY27 net profit	**₹64 cr, up 23% YoY**	Earnings per share ₹6.16 for the quarter.
FY26 (full year)	**₹2,948 cr revenue, ₹202 cr profit**	Revenue up 13%. Exports grew 30% and export volumes 23%, but overall volume grew only 6% — management said it would have been ~10% without the Iran conflict from 28 February.
Return on capital	**ROCE 31.0%; ROE 21.8%**	For every ₹100 of capital the business earns about ₹31 a year before tax. Very strong for a 10%-margin business — the assets turn over fast.
Installed capacity	**316,400 MTPA** (June 2026)	Up from 200,033 tonnes a year at FY25 — a **58% increase** in about a year. The capacity for the next leg of growth is already built.
Market position	**~50% share of the Sioplas market**	Sioplas is a cross-linking compound used in medium-voltage cable insulation. Holding half of a technical niche is a real competitive position, not a commodity one.
Exports	**16% CAGR FY22–FY26; +30% in FY26**	Growing considerably faster than the domestic business, and management says exports carry better margins.
Stated target	**₹5,000 cr revenue by FY30**	From ₹2,948 cr in FY26, this needs about 14% compound growth — below the 29% currently being run. A target set conservatively rather than aspirationally.

2. Concall coverage

Ten consecutive quarterly earnings-call transcripts were read, oldest to newest — from the company's maiden call in May 2024 through to the latest. The same four executives present each time: Narrindra Suranna (Chairman & MD), Ddev Surana (Whole-Time Director & CEO), Rajesh Kothari (Whole-Time Director) and Arihant Bothra (CFO).

Quarter	Call date	Revenue / operating margin	Read?
Q4 & FY24 — maiden call	21 May 2024	FY24 ₹2,431 cr · 11%	Yes
Q1 FY25 (Jun 2024)	Sep 2024	₹625 cr · 9%	Yes
Q2 FY25 (Sep 2024)	Nov 2024	₹580 cr · 11%	Yes
Q3 FY25 (Dec 2024)	Feb 2025	₹661 cr · 11%	Yes
Q4 & FY25 (Mar 2025)	16 May 2025	FY25 ₹2,603 cr · 10%	Yes
Q1 FY26 (Jun 2025)	Aug 2025	₹769 cr · 9%	Yes
Q2 FY26 (Sep 2025)	Nov 2025	₹680 cr · 9%	Yes
Q3 FY26 (Dec 2025)	Feb 2026	₹733 cr · 10%	Yes
Q4 & FY26 (Mar 2026)	26 May 2026	FY26 ₹2,948 cr · 10%	Yes
Q1 FY27 (Jun 2026)	**11 Aug 2026**	**₹989 cr · ~10%**	**Yes — latest**

Span: ten quarters, covering the company's entire history of holding earnings calls (the first was in May 2024). Transcripts are filed with both exchanges. Screener carries no transcripts for various 2022–2024 entries, most of which predate the maiden call.

2b. Latest concall highlights — Q1 FY27 (call held 11 Aug 2026) ★

- **A clear acceleration:** revenue **₹989 cr, up 29% year-on-year**, and EBITDA up 27% with margin at 10%. After FY26 grew only 13%, this is the fastest growth in three years, driven, management said, by "robust traction in the cables and wire segment in the export market".
- **Capacity is well ahead of demand:** installed capacity reached **316,400 MTPA as of June 2026**, against 200,033 tonnes only a year earlier — up 58%. The next phase of growth therefore needs little further investment.
- **The macro case is specific rather than vague:** management pointed to India's installed power generation capacity nearly doubling from about **442 GW in FY24 to around 900 GW by FY32**, supported by **₹9 trillion of transmission investment** in substations, transmission lines and transformers — all of which consumes wire and cable, and therefore polymer compound.
- **A genuine competitive position:** around **50% share of the Sioplas market**, a leading presence in other specialty compounds, and — notably — **zero rejections**. Management argued that specialised compounds require stringent customer approvals, which "command superior realisations and create meaningful entry barriers for new and unorganised participants". Exports have compounded at **16% a year between FY22 and FY26**.
- **The ₹5,000 cr FY30 target was reaffirmed unchanged**, as it has been on every call since the maiden one. Management described its growth philosophy as "disciplined, forward-looking and value accretive... pursued with commercial prudence and balance sheet strength".

2c. Business mix & capacity (quick facts)

Domestic vs export: predominantly **domestic**, but exports are the faster-growing half — up **30% in FY26** with volumes up 23%, and compounding at **16% a year since FY22**. Management has consistently said exports carry better margins than domestic sales, so the mix shift is margin-accretive. The precise export percentage is not disclosed on the calls, so none is quoted here.

Product mix: the deliberate shift has been *away* from low-margin PVC and anti-fibrillation compounds and *toward* specialty products — Sioplas (~50% market share), XLPE, semiconducting compounds and HFFR (halogen-free flame-retardant). Management has flagged 132 kV and 220 kV compounds, not currently produced in India, as future revenue generators expected to contribute 10–15% of revenue over time. EBITDA per tonne has run around **₹15,000–15,600**.

Capacity utilisation: total installed capacity is **316,400 MTPA** (June 2026), up from 200,033 a year earlier. Overall utilisation is not disclosed as a single percentage, but management does give it for the key new line: **HFFR capacity ran at about 50% through FY26**, and HFFR volume was only about 3,200 tonnes out of roughly 190,000 — which is why, as management itself conceded, its better margins have not yet moved the blended number. Plain read: there is substantial headroom, and the premium products that are meant to lift margin are still a very small share of throughput.

3. Earning Trigger thesis ★

The driver is a straightforward, well-evidenced **infrastructure derivative**: India is roughly doubling its power generation capacity from ~442 GW to ~900 GW by FY32 and spending about ₹9 trillion on transmission, every kilometre of which needs cable, and every cable needs the polymer compound Ddev makes. Layered on that are three company-specific advantages. First, **capacity is already built** — 316,400 tonnes a year, up 58% in a year — so the next leg of growth requires little fresh capital, which is why return on capital is 31% on a 10% margin. Second, a **real technical position**: around half the Sioplas market, zero rejections, and specialty compounds that require stringent customer approvals and therefore keep unorganised competitors out. Third, **exports**, compounding at 16% a year and up 30% in FY26, at better margins than domestic. Q1 FY27's 29% revenue growth shows the acceleration arriving. The honest limitation is margin: despite years of talk about premium mix, the blended operating margin has not moved out of a 9–11% band in three years, and the flagship high-margin product, HFFR, ran at only 50% utilisation and about 3,200 tonnes of 190,000 — a fact management states plainly rather than dresses up.

Trigger	What management said	Evidence so far	Horizon	Strength
India power transmission build-out	Generation capacity ~442 GW (FY24) → ~900 GW (FY32); ₹9 trn of transmission investment	Structural and externally verifiable. Q1 FY27 revenue +29% on cable-segment traction	To FY32	Strong
Capacity already in place	316,400 MTPA at June 2026, from 200,033 a year earlier	**Delivered** — up 58%. Growth from here needs little new capital, which is why ROCE is 31%	Now	Strong
Specialty niche position	~50% of the Sioplas market; zero rejections; approvals create entry barriers	Credible and durable — compound approvals for cable makers take years to obtain	Structural	Strong
Export growth	Better margins than domestic; 16% CAGR FY22–FY26	**Delivered** — FY26 exports +30% with volumes +23%, and Q1 FY27 growth was export-led	Ongoing	Strong
₹5,000 cr by FY30	Reaffirmed on every call since the maiden one in May 2024	Needs ~14% compound growth from ₹2,948 cr, against 29% currently being run — a conservatively set target	FY30	Strong

Premium mix lifting margin (HFFR, XLPE)	HFFR flagged as higher margin; 132 kV and 220 kV compounds to reach 10–15% of revenue over time	**Not yet working.** HFFR ran at ~50% utilisation and ~3,200 t of ~190,000 t; blended margin unchanged at 9–11% for three years	FY28+	Unproven
Thin absolute margin (constraint)	Management reset expectations: FY24's 14% included a 2–3% one-off, so ~11% is normal	Honest, but it means the business earns ~10 paise per rupee. Volume, not pricing, has to do the work	Structural	Caps upside
Geopolitical / raw-material disruption	Iran conflict from 28 Feb 2026 disrupted exports, transit routes and raw materials	Cut FY26 volume growth from ~10% to 6%. Petrochemical feedstock pricing is outside management's control	Recurring	Outside control

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2024 (maiden call)	Revenue to **double by FY30** from FY24's ₹2,431 cr; ₹300 cr of committed capex	Restated ever since as **₹5,000 cr by FY30** — the same number, reaffirmed on every subsequent call without revision in either direction	Consistent
FY25	Build capacity for the next phase	Capacity went 200,033 MTPA (FY25) → **316,400 MTPA** (Jun 2026), up 58%	Delivered
FY25 (May 2025)	Volume growth of **14–15%** in FY26	**Missed — 6% actual.** Management said it "would have approached 10% under normal conditions", the disruption being the Iran conflict from 28 February 2026	Missed (explained)
FY24 → FY26	Shift mix from low-margin PVC toward specialty compounds; grow exports	Exports delivered emphatically — 16% CAGR, +30% in FY26. Specialty mix shift real but slow: HFFR ~3,200 t of ~190,000 t	Partly
FY24 → FY26	Premium products to lift blended margin	**Not delivered.** Operating margin has stayed in a 9–11% band for three years	Not delivered
May 2025	—	Management **voluntarily reset margin expectations downward**, explaining that FY24's 14% included a 2–3% one-off discount/bonus benefit and that ~11% was the normal number — talking down its own prior result rather than defending it	Notably candid
May 2025	—	Conceded directly that HFFR's better margins were "not going to be" material given the small volume — refusing to oversell the flagship premium product	Candid
Q1 FY27	—	₹5,000 cr FY30 target reaffirmed unchanged even after a 29% quarter — not raised opportunistically into good news	Disciplined

Narrative drift: There has been none, and the direction of the corrections is unusual and creditable. Since the maiden call in May 2024 the target has been the same single number — roughly a doubling of revenue to ₹5,000 cr by FY30 — restated on every call and neither quietly pushed out nor opportunistically raised after a 29% quarter. Capacity was promised and delivered, growing 58% in a year. Exports were promised and delivered, compounding at 16%. Where management stands out most is in the corrections they volunteer. In May 2025 they told investors that the flattering 14% margin of FY24 had contained a 2–3 percentage-point one-off benefit and that around 11% was the real number — actively lowering the market's expectation of their own past performance. In the same call they conceded that HFFR, the premium product they had highlighted a year earlier, was too small at ~3,200 tonnes of ~190,000 to move the blended margin. And when FY26 volume growth came in at 6% against 14–15% guided, they gave a specific external cause — the Iran conflict from 28 February disrupting exports, transit and raw materials — and quantified what growth would otherwise have been. Two real blemishes remain: that volume miss, and the fact that after three years of premium-mix strategy the blended margin has not moved out of 9–11%. But these are shortfalls a management team disclosed itself rather than shortfalls an outsider had to uncover.

5. Bottom line — two verdicts

Durable earning trigger? → YES

This is a well-positioned derivative of a large, externally verifiable capital cycle. India is roughly doubling its power generation capacity to around 900 GW by FY32 with about ₹9 trillion going into transmission, and every substation, line and cable in that build consumes the polymer compound Ddev makes. The company is unusually well prepared for it: capacity has already been raised 58% to 316,400 tonnes a year, so the next leg of growth needs little fresh capital — which is precisely why a business earning only 10 paise per rupee of sales still generates a 31% return on capital. It also holds a genuine technical position rather than a commodity one, with around half the Sioplas market, zero rejections, and specialty approvals that take years for a competitor to replicate. Exports, the higher-margin half, have compounded at 16% a year and grew 30% in FY26. Q1 FY27's 29% revenue growth shows the acceleration arriving after a disrupted FY26, and the ₹5,000 cr FY30 target needs only about 14% compound growth — less than half the current rate. The honest limitation is that this remains a thin-margin business whose margin has not improved: three years of premium-mix strategy have left the blended figure stuck between 9% and 11%, with HFFR running at half utilisation and barely 3,200 tonnes of throughput. Growth here will come from volume, not from pricing.

Management consistent? → YES

Across ten calls this management has held to one number and told the truth about the rest. The ₹5,000 cr FY30 target set at the maiden call in May 2024 has been repeated on every call since, unchanged — not deferred when FY26 disappointed, and not raised when Q1 FY27 grew 29%. Capacity was promised and delivered, up 58% in a year. Exports were promised and delivered at a 16% compound rate. What earns the Yes rather than a hedge is the pattern of the corrections. In May 2025 management volunteered that the 14% margin they had reported for FY24 contained a 2–3 percentage-point one-off benefit and that roughly 11% was the honest run-rate — a company actively deflating its own best number. In the same call they conceded that HFFR, the premium product they had promoted a year earlier, was too small to move the blended margin, rather than continuing to sell it. And when FY26 volume growth came in at 6% against 14–15% guided, they named the cause precisely and quantified the counterfactual at about 10%. Two shortfalls stand on the record — that volume miss, and a margin that three years of mix strategy has not lifted. But both were disclosed by management before anyone had to ask, which is the behaviour this verdict is meant to reward.

Prepared from ten Ddev Plastiks Industries Ltd earnings-call transcripts, Q4 FY24 (21 May 2024 — the company's maiden call) through Q1 FY27 (11 Aug 2026), sourced from Screener.in; all figures as disclosed by management on those calls or from Screener.in financial statements. Screener carries no transcripts for various 2022–2024 entries, most of which predate the maiden earnings call.